

FEDERAL MARITIME COMMISSION

Docket No. 17-09

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND FCA ITALY S.P.A.

v.

**WALLENIS WILHELMSSEN LOGISTICS AS, WALLENIS WILHELMSSEN
LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC., NIPPON YUSEN
KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC., MISTUI O.S.K. LINES,
LTD., MOL (AMERICA) INC., KAWASAKI KISEN KAISHA, LTD., "K" LINE
AMERICA, INC., COMPAÑÍA SUD AMERICANA DE VAPORES S.A., AND HOËGH
AUTOLINERS AS**

**ANSWER AND AFFIRMATIVE DEFENSES OF RESPONDENT COMPAÑÍA SUD
AMERICANA DE VAPORES S.A.**

Respondent Compañía Sud Americana de Vapores S.A. ("CSAV"), by and through its undersigned counsel, respectfully submits its Answer to the Complaint of complainants Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.p.A. (collectively, "complainants" or "FCA"). CSAV is responding to those allegations in the FCA Complaint that are directed toward CSAV. Except as otherwise stated below, CSAV lacks sufficient knowledge or information to form a belief concerning the truth of the allegations in the FCA Complaint that are directed toward other entities. To the extent not specifically admitted herein, CSAV denies all of the allegations in the FCA Complaint. In addition, to the extent complainants purport to quote from documents in the FCA Complaint, CSAV refers to the documents themselves for the actual and complete contents. CSAV has not attempted to verify the accuracy of complainants'

quotations or even that the documents exist. To the extent that quotations are incomplete, inaccurate, or misleading, or the underlying documents do not exist, CSAV denies the allegations. CSAV will insist on strict proof of all allegations, assuming such allegations are deemed admissible, as to which CSAV reserves its rights. CSAV's use of the FCA Complaint's defined terms is intended solely for the Presiding Officer's convenience; CSAV denies that complainants have defined these terms appropriately.

On May 7, 2018, the Presiding Officer issued an Initial Decision granting in part and denying in part the supplemental consolidated motion to dismiss the FCA Complaint (the "Initial Decision"). *See* Init. Dec. at 40-50. Under the Initial Decision, all of FCA's claims for reparations are dismissed except for those based on alleged "continuing violations." Pursuant to the Initial Decision, complainants are limited in the relief they may seek: "Fiat may seek reparations for violations that occurred within three years of filing the complaint [and] Fiat may seek a cease and desist order for any alleged Shipping Act violations which are established." Init. Dec. at 50. Because complainants filed their Complaint on October 6, 2017, the relevant time period for complainants' allegations starts from October 6, 2014; FCA may possibly obtain a cease and desist order or reparations only for claims based on violations, if any, occurring after October 6, 2014. This Answer, in its entirety, is subject to the unappealed rulings with respect to FCA's claims set forth in the Initial Decision, and, accordingly, is limited solely to the narrow claims remaining in the FCA Complaint after the Initial Decision.

INTRODUCTION

1. The allegations in Paragraph 1 consist of complainants' characterizations of their purported claims and conclusions of law, to which no response is required. To the extent that a response is required, CSAV denies those allegations.

2. CSAV admits that it entered a guilty plea in *United States v. Compañía Sud Americana de Vapores S.A.*, Case 1:14–CR–00100–GLR, D. Md., for violation of 15 U.S.C. § 1 and paid a fine of \$8.9 million, solely with respect to conduct prior to September 2012 – i.e., years before the time period relevant to complainants' Complaint. CSAV denies the remaining allegations in Paragraph 2 to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies those allegations for lack of knowledge or information sufficient to form a belief as to their truth.

3. The allegations in Paragraph 3 consist of complainants' legal conclusions, to which no response is required. To the extent that a response is required, CSAV denies those allegations to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies those allegations for lack of knowledge or information sufficient to form a belief as to their truth.

4. CSAV denies the allegations in Paragraph 4, to the extent they are directed at CSAV, and otherwise denies the allegations in Paragraph 4 for lack of knowledge or information sufficient to form a belief as to their truth.

THE PARTIES

5. CSAV denies the allegations in Paragraph 5 for lack of knowledge or information sufficient to form a belief as to their truth.

6. CSAV denies the allegations in Paragraph 6 for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 6 states conclusions of law to which no response is required.

7. CSAV denies the allegations in Paragraph 7 for lack of knowledge or information sufficient to form a belief as to their truth.

8. CSAV denies the allegations in Paragraph 8 for lack of knowledge or information sufficient to form a belief as to their truth.

9. CSAV denies the allegations in Paragraph 9 for lack of knowledge or information sufficient to form a belief as to their truth.

10. CSAV denies the allegations in Paragraph 10 for lack of knowledge or information sufficient to form a belief as to their truth.

11. CSAV denies the allegations in Paragraph 11 for lack of knowledge or information sufficient to form a belief as to their truth.

12. CSAV admits that it is a Chilean corporation with its principal place of business at Hundaya 60, Las Condes, Santiago, Chile. CSAV further denies that CSAV Agency North America, LLC operates as a subsidiary of CSAV, or even currently exists, since CSAV's merger with Hapag-Lloyd AG in December 2014. CSAV admits that it provides roll on, roll off cargo services to customers for shipments to and from the United States and between international ports. CSAV denies the remaining allegations in Paragraph 12 as the same constitute conclusions of law to which no response is required.

13. CSAV denies the allegations in Paragraph 13 for lack of knowledge or information sufficient to form a belief as to their truth.

JURISDICTION AND VENUE

14. The allegations in Paragraph 14 are complainants' legal conclusions regarding jurisdiction, to which no response is required. To the extent that a response is required, CSAV admits that the Federal Maritime Commission has jurisdiction over complainants' Complaint but denies that complainants have stated a claim or are entitled to any relief under the Shipping Act or any other law and denies the allegations in Paragraph 14 in all other respects.

15. The allegations in Paragraph 15 are complainants' legal conclusions regarding jurisdiction, to which no response is required. To the extent that a response is required, CSAV denies them.

16. The allegations in Paragraph 16 are complainants' legal conclusions regarding jurisdiction, to which no response is required. To the extent that a response is required, CSAV denies them.

BACKGROUND AND ALLEGATIONS OF FACT

17. CSAV admits that it transported "wheeled freight, also known as 'roll on, roll off cargo,' on ocean shipping vessels specifically designed to transport such freight on deep sea routes" and that "[n]ewly assembled cars, trucks, and motor vehicles ('vehicles') are transported as roll on, roll off cargo[.]" CSAV denies the remainder of the allegations in Paragraph 17.

18. CSAV denies the allegations in Paragraph 18 for lack of knowledge or information sufficient to form a belief as to their truth.

19. The allegations in Paragraph 19 are complainants' legal conclusions, to which no response is required. To the extent that a response is required, CSAV denies them.

20. To the extent the allegations in Paragraph 20 are directed at CSAV, CSAV admits that it pleaded guilty and paid a fine in the amount of \$8.9 million, and that one CSAV executive

was indicted by the Department of Justice, solely with respect to conduct prior to September 2012 – i.e., years before the time period relevant to complainants’ Complaint. To the extent the allegations are not directed at CSAV, CSAV denies the allegations in Paragraph 20 for lack of knowledge or information sufficient to form a belief as to their truth.

21. To the extent the allegations in Paragraph 21 are directed at CSAV, CSAV admits that it has been fined by certain foreign competition authorities, solely with respect to conduct prior to September 2012 – i.e., years before the time period relevant to complainants’ Complaint. To the extent the allegations are not directed at CSAV, CSAV denies the allegations in Paragraph 21 for lack of knowledge or information sufficient to form a belief as to their truth.

22. CSAV denies the allegations in Paragraph 22 for lack of knowledge or information sufficient to form a belief as to their truth.

23. CSAV denies the allegations in Paragraph 23, to the extent they are directed at CSAV. To the extent those allegations are not directed at CSAV, CSAV denies them for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 23 states conclusions of law to which no response is required.

24. CSAV denies the allegations in Paragraph 24, to the extent they are directed at CSAV. To the extent those allegations are not directed at CSAV, CSAV denies them for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 24 states conclusions of law to which no response is required.

25. CSAV denies the allegations in Paragraph 25, to the extent they are directed at CSAV. To the extent those allegations are not directed at CSAV, CSAV denies them for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 25 states conclusions of law to which no response is required.

26. CSAV denies the allegations in Paragraph 26, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies those allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 26 states conclusions of law to which no response is required.

27. CSAV denies the allegations in Paragraph 27, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 27 states conclusions of law to which no response is required.

28. CSAV denies the allegations in Paragraph 28, to the extent they are directed at CSAV, for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 28 states conclusions of law to which no response is required.

29. CSAV denies the allegations in Paragraph 29, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 29 states conclusions of law to which no response is required.

30. CSAV denies the allegations in Paragraph 30, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 30 states conclusions of law to which no response is required.

31. CSAV denies the allegations in Paragraph 31, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 31 states conclusions of law to which no response is required.

32. To the extent the allegations in Paragraph 32 are directed at CSAV, CSAV refers to the April 24, 2014 docket entry for case 1:14-cr-00100-GLR for a full and accurate statement of its contents, and otherwise denies the allegations in Paragraph 32. To the extent the allegations in Paragraph 32 are not directed at CSAV, CSAV denies them for lack of knowledge or information sufficient to form a belief as to their truth.

33. CSAV refers to the April 24, 2014 docket entry for case 1:14-cr-00100-GLR for a full and accurate statement of its contents, and otherwise denies the allegations in Paragraph 33.

34. CSAV denies the allegations in Paragraph 34 because the allegations are set forth in a writing that speaks for itself and because CSAV otherwise lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 34.

35. CSAV denies the allegations in Paragraph 35 because the allegations are set forth in a writing that speaks for itself and because CSAV otherwise lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 35.

36. CSAV denies the allegations in Paragraph 36 because the allegations are set forth in a writing that speaks for itself and because CSAV otherwise lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 36.

37. CSAV denies the allegations in Paragraph 37 because the allegations are set forth in a writing that speaks for itself and because CSAV otherwise lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 37.

38. CSAV denies the allegations in Paragraph 38 for lack of knowledge or information sufficient to form a belief as to their truth.

39. CSAV denies the allegations in Paragraph 39, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of

knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 39 states conclusions of law to which no response is required.

40. CSAV denies the allegations in Paragraph 40, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies those allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 40 states conclusions of law to which no response is required.

41. CSAV denies the allegations in Paragraph 41 for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 41 states conclusions of law to which no response is required.

42. CSAV denies the allegations in Paragraph 42, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 42 states conclusions of law to which no response is required.

43. CSAV denies the allegations in Paragraph 43, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 43 states conclusions of law to which no response is required.

44. CSAV denies the allegations in Paragraph 44, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 44 states conclusions of law to which no response is required.

45. CSAV denies the allegations in Paragraph 45, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of

knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 45 states conclusions of law to which no response is required.

46. CSAV denies the allegations in Paragraph 46, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 46 states conclusions of law to which no response is required.

47. CSAV denies the allegations in Paragraph 47, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 47 states conclusions of law to which no response is required.

CAUSES OF ACTION – COUNT I

48. CSAV incorporates by reference the responses set forth in Paragraphs 1-47, inclusive, and adopts the same as though fully set forth herein.

49. CSAV denies the allegations in Paragraph 49, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 49 states conclusions of law to which no response is required.

50. CSAV denies the allegations in Paragraph 50, to the extent they are directed at CSAV, for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 50 states conclusions of law to which no response is required.

51. CSAV denies the allegations in Paragraph 51, to the extent they are directed at CSAV, for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 51 states conclusions of law to which no response is required.

52. CSAV denies the allegations in Paragraph 52, to the extent they are directed at CSAV, for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 52 states conclusions of law to which no response is required.

CAUSES OF ACTION – COUNT II

53. CSAV incorporates by reference the responses set forth in Paragraphs 1-52, inclusive, and adopts the same as though fully set forth herein.

54. The allegations in Paragraph 54 are legal conclusions to which no response is required. To the extent that a response is required, CSAV denies the allegations in Paragraph 54.

CAUSES OF ACTION – COUNT III

55. CSAV incorporates by reference the responses set forth in Paragraphs 1-54, inclusive, and adopts the same as though fully set forth herein.

56. CSAV denies the allegations in Paragraph 56, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 56 states conclusions of law to which no response is required.

CAUSES OF ACTION – COUNT IV

57. CSAV incorporates by reference the responses set forth in Paragraphs 1-56, inclusive, and adopts the same as though fully set forth herein.

58. CSAV denies the allegations in Paragraph 58, to the extent they are directed at CSAV. To the extent they are not directed to CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 58 states conclusions of law to which no response is required.

59. CSAV denies the allegations in Paragraph 59, to the extent they are directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 59 states conclusions of law to which no response is required.

CAUSES OF ACTION – COUNT V

60. CSAV incorporates by reference the responses set forth in Paragraphs 1-59, inclusive, and adopts the same as though fully set forth herein.

61. The allegations in Paragraph 61 are legal conclusions to which no response is required. To the extent that a response is required, CSAV denies the allegations in Paragraph 61 to the extent they are directed to CSAV. To the extent they are not directed to CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth.

CAUSES OF ACTION – COUNT VI

62. CSAV incorporates by reference the responses set forth in Paragraphs 1-61, inclusive, and adopts the same as though fully set forth herein.

63. The allegations in Paragraph 63 are legal conclusions to which no response is required. To the extent that a response is required, CSAV denies the allegations in Paragraph 63.

64. The allegations in Paragraph 64 are legal conclusions to which no response is required. To the extent that a response is required, CSAV denies the allegations in Paragraph 64.

CAUSES OF ACTION – COUNT VII

65. CSAV incorporates by reference the responses set forth in Paragraphs 1-64, inclusive, and adopts the same as though fully set forth herein.

66. The allegations in Paragraph 66 are legal conclusions to which no response is required. To the extent that a response is required, CSAV denies the allegations in Paragraph 66.

ALLEGATIONS OF INJURY

67. CSAV denies the allegations in Paragraph 67, to the extent directed at CSAV. To the extent they are not directed at CSAV, CSAV denies the allegations for lack of knowledge or information sufficient to form a belief as to their truth. By way of further answer, Paragraph 67 states conclusions of law to which no response is required.

In response to the “WHEREFORE” clause on pages 20 through 21 of the Complaint, CSAV denies that complainants are entitled to any relief whatsoever.

AFFIRMATIVE OR ALTERNATIVE DEFENSES

FIRST AFFIRMATIVE DEFENSE (Failure to State a Claim)

The Complaint fails to state any cognizable Shipping Act claims upon which relief can be granted.

SECOND AFFIRMATIVE DEFENSE (Statute of Limitations)

The Shipping Act’s three-year Statute of Limitations bars, in whole or in part, the claims of complainants set forth in the Complaint.

THIRD AFFIRMATIVE DEFENSE (Standing)

Complainants claims are barred, in whole or in part, because complainants lack standing.

FOURTH AFFIRMATIVE DEFENSE (Lack of Actual Injury or Damages)

The Complaint is barred, in whole or in part, because complainants have not suffered an actual injury or damages due to CSAV’s conduct.

FIFTH AFFIRMATIVE DEFENSE (Failure to Mitigate)

Complainants are barred from recovery of any damages because of and to the extent of their failure to mitigate damages or reparations.

SIXTH AFFIRMATIVE DEFENSE (Uncertainty of Damages)

Complainants' claims are barred because the alleged damages, if any, are speculative and because of the impossibility of ascertaining and allocating those alleged damages or reparations.

SEVENTH AFFIRMATIVE DEFENSE (Lack of Proximate Cause)

Any injuries or damages complainants may have suffered were caused solely and proximately by the acts and omissions of others.

EIGHTH AFFIRMATIVE DEFENSE (Waiver, Estoppel, Unclean Hands, and Laches)

Complainants' claims are barred, in whole or in part, by the doctrines of waiver, estoppel, unclean hands, and/or laches.

NINTH AFFIRMATIVE DEFENSE (Ultra Vires)

To the extent that any actionable conduct occurred, complainants' claims are barred because all such conduct would have been committed by individuals acting ultra vires.

TENTH AFFIRMATIVE DEFENSE (Competition Not Harmed)

Complainants' claims should be dismissed to the extent that they are barred, in whole or in part, because CSAV's actions did not lessen competition in the relevant market.

ELEVENTH AFFIRMATIVE DEFENSE (Injury or Damages Offset by Benefits Received)

Complainants' claims should be dismissed to the extent that they are barred, in whole or in part, because any claimed injury or damage has been offset by benefits that complainants received with respect to the challenged conduct, and complainants would be unjustly enriched if they were allowed to recover any part of the damages or reparations alleged in the Complaint.

TWELFTH AFFIRMATIVE DEFENSE (Pass Through)

Complainants' claims for an illegal overcharge are barred, in whole or in part, to the extent that such overcharge, the existence of which CSAV expressly denies, was absorbed, in whole or in part, by others, and was not passed through to complainants or was passed on by complainants to other parties.

THIRTEENTH AFFIRMATIVE DEFENSE (Available Remedy at Law)

Complainants' claims for an injunction or other equitable relief are barred, in whole or in part, because complainants have available an adequate remedy at law.

FOURTEENTH AFFIRMATIVE DEFENSE (Failure to State a Claim for Injunctive Relief)

Complainants' claims for injunctive relief are barred, in whole or in part, insofar as complainants seek to enjoin alleged events that have already transpired without the requisite showing of threatened future harm or continuing harm.

FIFTEENTH AFFIRMATIVE DEFENSE (Comparative Fault)

Complainants' claims are barred, in whole or in part, to the extent the injuries alleged in the Complaint, the fact and extent of which are expressly denied by CSAV were directly and proximately caused by or contributed to by the statements, acts or omissions of complainants or third persons or entities unaffiliated with CSAV.

SIXTEENTH AFFIRMATIVE DEFENSE (Improper Joinder)

Complainants' claims are improperly joined within the meaning of Rule 20 of the Federal Rules of Civil Procedure because they did not arise out of the same transaction, occurrence or series of transactions or occurrences and/or do not involve questions of law or fact common to all defendants.

SEVENTEENTH AFFIRMATIVE DEFENSE (No Multiple Recoveries)

Complainants' claims are barred, in whole or in part, to the extent that complainants seek damages that are duplicative of damages sought in other actions.

EIGHTEENTH AFFIRMATIVE DEFENSE (Set-Off)

Without admitting the existence of any contract, combination or conspiracy in restraint of trade, CSAV avers that it is entitled to set off any amounts paid to complainants by any other Respondents who have settled, or do settle, complainants' claims against them in this matter.

NINETEENTH AFFIRMATIVE DEFENSE (Waiver of Certain Remedies)

Complainants' claims to certain remedies are barred, in whole or in part, to the extent that complainants have waived, under any applicable contract or otherwise, their rights to those remedies, including but not limited to treble damages and attorneys' fees.

TWENTIETH AFFIRMATIVE DEFENSE (Incorporation of Defenses of Others)

CSAV incorporates by reference and asserts to the extent applicable all other affirmative defenses set forth in the answers to the Complaint of each of the other Respondents.

TWENTY-FIRST AFFIRMATIVE DEFENSE (Bankruptcy)

Complainants' asserted claims have been discharged in bankruptcy.

TWENTY-SECOND AFFIRMATIVE DEFENSE (Mootness)

Complainants' claims are barred, in whole or in part, by the doctrine of mootness.

TWENTY-THIRD AFFIRMATIVE DEFENSE (Failure to Plead Continuing Violation)

To the extent any of complainants' claims remain following the May 7, 2018 decision, complainants have failed to plead facts sufficient to establish a "continuing violation," and thus all of complainants' claims are time-barred.

TWENTY-FOURTH AFFIRMATIVE DEFENSE (Failure to Plead Fraudulent Concealment)

Complainants have failed to allege fraudulent concealment with sufficient particularity.

TWENTY-FIFTH AFFIRMATIVE DEFENSE (Failure to Plead Conspiracy)

Complainants' claims are barred, in whole or in part, because complainants have failed to allege conspiracy with sufficient particularity.

TWENTY-SIXTH AFFIRMATIVE DEFENSE (Failure to Exercise Due Diligence)

Complainants' claims are barred, in whole or in part, by complainants' failure to exercise due diligence to uncover any allegedly unlawful conduct.

TWENTY-SEVENTH AFFIRMATIVE DEFENSE (Conduct Permitted by Law)

Complainants' claims are barred, in whole or in part, to the extent they are based on alleged acts, conduct, or statements that are specifically permitted by law.

TWENTY-EIGHTH AFFIRMATIVE DEFENSE (Ratification)

Complainants' claims are barred, in whole or in part, by reason of complainants' ratification, acquiescence, agreement, or consent to CSAV's conduct.

TWENTY-NINTH AFFIRMATIVE DEFENSE (Excessive Damages)

Complainants' claims are barred, in whole or in part, because an award of double damages or reparations against CSAV based on the alleged conduct would constitute excessive damages or reparations.

RESERVATION OF CLAIMS, DEFENSES, AND RIGHTS

CSAV reserves the right to assert any additional claims and further defenses as may be revealed by discovery or otherwise, up to and including the time of trial. CSAV currently has insufficient knowledge or information upon which to form a belief as to any other potential affirmative defenses that may be available to it, and expressly reserves the right to amend or

supplement this Answer and these affirmative defenses, as well as to assert any and all additional or alternative defenses under any applicable law or regulations, in the event that discovery indicates that such defenses are available or otherwise. Assertion by CSAV of any affirmative defense(s) or any other defense(s) shall not be deemed a concession that CSAV bears the burden of proof with respect to any of them. CSAV reserves its right to assert counterclaims as may be appropriate.

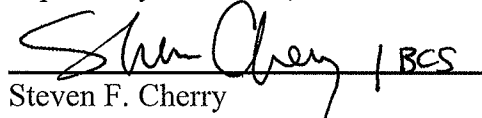
CONCLUSION

WHEREFORE, CSAV prays that:

- A. Complainants take nothing by way of their Complaint, and the action be dismissed with prejudice;
- B. Judgment be entered in favor of CSAV and against complainants with respect to all causes of action in the Complaint;
- C. The Presiding Officer award CSAV its attorneys' fees and all other costs reasonably incurred in defense of this action; and
- D. The Presiding Officer award CSAV such other relief as it may deem just and proper.

DATED: October 9, 2018

Respectfully submitted,

 / BCS

Steven F. Cherry

Brian C. Smith

**WILMER, CUTLER, PICKERING,
HALE & DORR LLP**

1875 Pennsylvania Avenue, NW

Washington, D.C. 20006

Telephone: (202) 663-6000

Steven.Cherry@wilmerhale.com

Brian.Smith@wilmerhale.com

*Counsel for respondent Compañía Sud
Americana de Vapores, S.A.*

CERTIFICATE OF SERVICE

I hereby certify that, on the below date, a true and correct copy of the foregoing Answer and affirmative defenses was filed electronically with the Secretary of the Federal Maritime Commission, and true and correct copies thereof were sent electronically to all counsel for the parties identified in Docket No. 17-09.

DATED: October 9, 2018



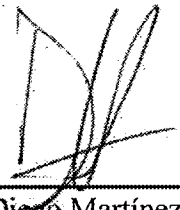
Brian C. Smith

VERIFICATION PURSUANT TO 46 C.F.R. § 502.62(b)(2)

Diego Martínez, upon his oath, hereby verifies as follows:

1. I am an attorney-at-law licensed to practice in Chile. I serve as Legal Counsel of Respondent Compañía Sud Americana de Vapores S.A., and I am authorized and do make this verification on its behalf.
2. I hereby verify that the facts contained in the foregoing Answer and affirmative defenses are true and correct to the best of my knowledge, information and belief.
3. I hereby further verify under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

DATED: October 9, 2018



Diego Martínez
Legal Counsel
Legal Department
Compañía Sud Americana de Vapores S.A.